

INDIA AUTOS

India EVs: Delhi approves the 2028 ICE two-wheeler ban

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EXECUTIVE SUMMARY

The Delhi cabinet approved its Electric Vehicle Policy 2026 on 29 June, with rollout expected from 1 July once the Lieutenant Governor notifies it. The policy runs to March 2030 and is backed by a commitment of roughly Rs15,000 crore across purchase incentives, charging infrastructure and road-tax relief. For two-wheelers, the headline matches the April draft we wrote on: only electric two-wheelers may be registered in Delhi from 1 April 2028, with electric-only three-wheelers from January 2027 and ICE curbs on aggregator and delivery fleets. We make no rating changes. We stay Outperform on Bajaj Auto and Market-Perform on TVS Motor, Hero MotoCorp and Eicher Motors.

When we covered the draft in April, the live question was whether Delhi would actually move or whether the proposal would be watered down in the familiar way. That part is now settled — it has cleared cabinet. The larger uncertainty we raised then, whether other states adopt similar timelines, is unchanged, and we do not reopen it here beyond the obvious point that a notified, enforced Delhi raises the odds. The incentives are front-loaded: Rs30,000 per electric two-wheeler and Rs50,000 per electric three-wheeler in the first year, tapering thereafter, with full road-tax and registration waivers for EVs through 2030. One change from the draft is worth recording: the partial relief earlier offered to strong hybrids has been dropped, and the approved policy now gives hybrids nothing.

The direct earnings impact is small. Delhi is about 2.6% of national two-wheeler registrations, the ban applies to new registrations only, and every vehicle already on the road is grandfathered. Within our coverage, Delhi accounts for roughly 1% of volumes at Bajaj, 2% at Hero, 3% at TVS and 4% at Eicher's Royal Enfield. In practice the number may be smaller still: dealers and FADA have warned that a Delhi-only ban pushes buyers to register in neighbouring NCR towns such as Noida, Gurugram and Ghaziabad, weakening the volume effect inside the city without improving regional air. SIAM, separately, argues the policy targets the wrong vehicles, since modern BS-VI two-wheelers emit little and most pollution comes from older, pre-BS-IV stock. Both points speak to enforcement risk rather than to the direction of travel.

The more useful question is where the ban actually bites. Electrification within two-wheelers has been very uneven. Electric scooters now sit in the mid-to-high teens of national penetration and are still rising; electric motorcycles remain negligible, well under 1% of motorcycle sales, with no mainstream product at scale. A registration ban therefore lands hardest on motorcycle-led, ICE-heavy franchises — and that is precisely where exposure and readiness pull apart across our coverage. The names most exposed to Delhi are the least prepared for it, while the one we prefer, Bajaj, is both the least exposed and, given the weight of exports in its story, the least dependent on Delhi in any case.

INVESTMENT IMPLICATIONS

Two numbers decide who should care. The first is how much of an OEM's volume comes from Delhi. The second is how much of that Delhi volume is still petrol — the part a registration ban eventually closes off. Exhibit 1 sets both against our coverage, and the pattern is awkward: the name with the most to lose in Delhi is also the least electrified there.

Exhibit 1: The most Delhi-exposed name we cover is also the least electrified in Delhi

OEM (we cover)	Delhi as % of portfolio	ICE share of Delhi sales	Rating
Eicher (Royal Enfield)	~4%	100%	Market-Perform
TVS Motor	~3%	94%	Market-Perform
Hero MotoCorp	~2%	96%	Market-Perform
Bajaj Auto	~1%	81%	Outperform

Figures CY25, rounded. ICE share = non-EV portion of the OEM's Delhi two-wheeler sales. Source: Vahan registration data; author analysis.

EICHER (ROYAL ENFIELD) — the exposure is highest and the readiness is lowest. Royal Enfield carries the largest Delhi share of any name we cover, near 4% of volumes, and effectively none of it is electric. Its whole franchise is the motorcycle — the one body style with no proven electric answer at scale. The Flying Flea, its first EV, has only just reached a premium niche where electric demand is still thin, and a single aspirational model does not convert a commuter market. Delhi is exactly the kind of regulation Eicher is structurally worst placed to absorb, and any spread of similar timelines would press on the part of the story that is hardest to fix. Market-Perform, target Rs4,700.

HERO MOTOCORP — the laggard in the most exposed segment. Hero's Delhi book is about 2% of volumes and roughly 96% petrol, weighted toward the entry-level motorcycle — the most price-sensitive corner of the market, where an EV premium is hardest to pass on. Vida is growing quickly, but off a small base, and remains a low-single-digit slice of Hero's Delhi sales. Of the four, Hero has the most to prove on electrification and the least proof so far. Market-Perform, target Rs3,900.

TVS MOTOR — exposed, but the best-equipped to convert. TVS has real Delhi exposure — around 3% of volumes, still ~94% petrol — but it is the readiest incumbent. The iQube gives it the leading domestic electric two-wheeler franchise, so more of its Delhi book can migrate inside its own showroom rather than walk to a rival. The honest qualifier is that electric two-wheeler economics still trail ICE, so converting volume is not the same as converting margin. For TVS the exposure is a manageable problem, not a structural one. Market-Perform, target Rs2,500.

BAJAJ AUTO — the least touched by Delhi. Bajaj has the lowest Delhi exposure of the four, near 1% of volumes, and the most electrified Delhi book of the group, with the Chetak holding a genuine number-two position in e-scooters. The Outperform itself rests on exports, where Bajaj earns the bulk of its swing and where this policy is irrelevant; Delhi is, at most, a small confirming detail. Outperform, target Rs11,500.

THE TRADE. Nothing here changes a rating, and it should not — the direct numbers are small and the ban lands in 2027–28, beyond our 12-month rating horizon. What the cabinet decision does is firm up the pecking order we already hold: the motorcycle-heavy, ICE-heavy names (Eicher, then Hero) carry the regulatory tail, while the EV-forward names (TVS, Bajaj) carry less of it. The variable that would actually move these stocks is a second state adopting a comparable timeline; that, more than Delhi on its own, is what we are watching.

Data note. Policy detail from the Delhi cabinet announcement of 29 June 2026 and the April 2026 draft; the policy awaits Lieutenant Governor notification. Exposure metrics are CY25, from author analysis of Vahan registration data; figures rounded. Ratings and price targets unchanged from standing coverage. Builds on our 14 April 2026 note on the draft policy.